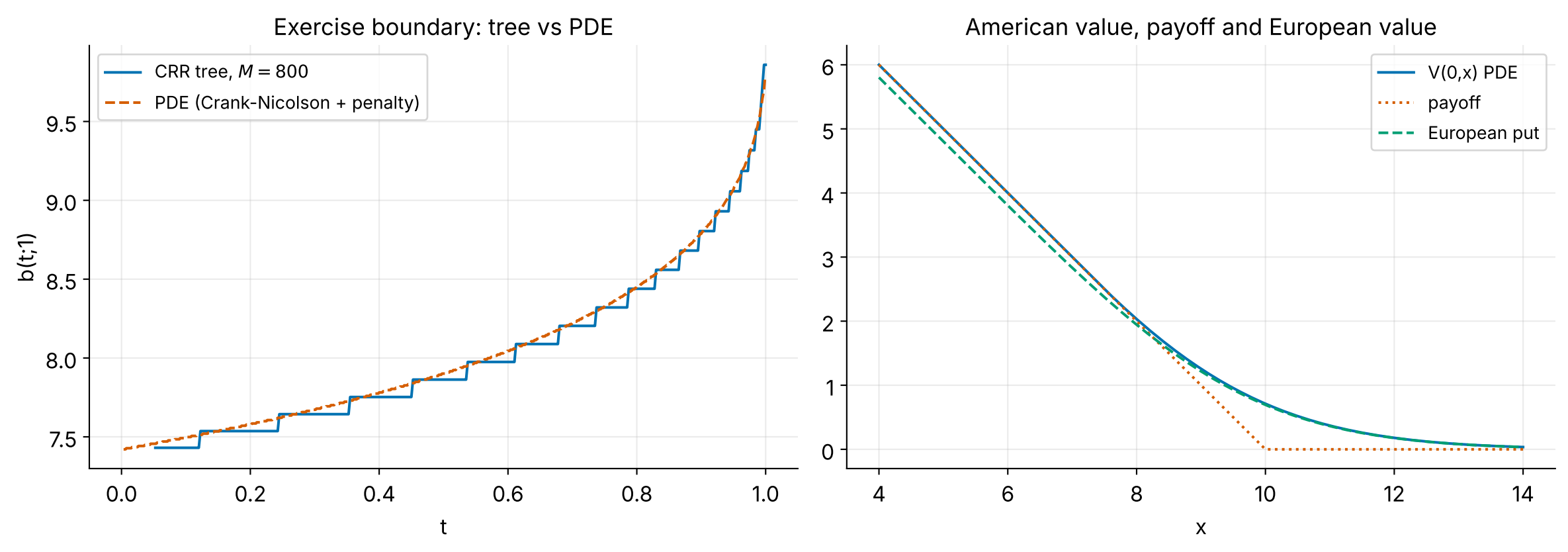
Exercise boundary: tree vs PDE
CRR tree, $M = 800$
PDE (Crank-Nicolson + penalty)
b(t;1)
9.5
9.0
8.5
8.0
7.5
0.0
0.2
0.4
0.6
0.8
1.0
t
American value, payoff and European value
V(0,x) PDE
payoff
European put
6
5
4
3
2
1
0
4
6
8
10
12
14
x